Legal Studies Research Paper Series

Research Paper No. 16-223
March 2016

The Gig Economy & The Future of Employment and Labor Law

Orly Lobel

This paper can be downloaded without charge from the
Social Science Research Network Electronic Paper Collection:
http://ssrn.com/abstract = 514132

Electronic copy available at: https://ssrn.com/abstract=2848456
Electronic copy available at: http://ssrn.com/abstract=2848456

12TH ANNUAL PEMBERTON LECTURE
AT
THE 9TH CIRCUIT COURT OF APPEALS

forthcoming, USF Law Review 2016

The Gig Economy & The Future of Employment and Labor Law

Orly Lobel*

Abstract

In April 2016, Professor Orly Lobel delivered the 12th Annual Pemberton Lecture at the 9th Circuit Court of Appeals. Lobel asks, what is the future of employment and labor law protections when reality is rapidly transforming the ways we work? What is the status of gig work and what are the rights as well as duties of gig workers? She proposes four paths for systematic reform, where each path is complementary rather than mutually exclusive to the others. The first path is to clarify and simplify the notoriously malleable classification doctrine; the second is to expand certain employment protections to all workers, regardless of classification, or in other words to altogether reject classification; the third is to create special rules for intermediate categories; and the fourth is to disassociate certain social protections from the work.

I. Sharing, Share-washing, & Gigs: Who's Afraid of On-Demand Employment?

On-demand employment, also known as the Gig Economy, the Sharing Economy, Peer-to-Peer, or the 1099 Economy, is on the rise. The number of gig workers – people who provide contracted, freelance work on a short-term basis via digital platform technologies – is growing rapidly. In the United States, Uber alone has nearly half a million drivers in its fleet. Uber's dazzling success further inspires gig-based business models. Venture capitalists report hearing dozens of pitches every week formulated as "*Uber but for X*."[1] In each instance, the digital

* Don Weckstein Professor of Law, University of San Diego. Thanks to Tristin Green, Carrie Menkel-Meadow, Rachel Arnow-Richman, Camille Rich, Leticia Saucedo, and Michelle Travis for their helpful thoughts. I thanks Keia Atkinson and James deHaan for excellent research assistance.

[1] Micha Kaufman, Fiverr, *4 Ways the On-Demand Economy Will Evolve in 2016*, VENTUREBEAT (Jan. 2, 2016, 11:00

Electronic copy available at: https://ssrn.com/abstract=2848456
Electronic copy available at: http://ssrn.com/abstract=2848456

platform connects workers to hirers. Gig workers are drivers, delivery-people, personal assistants, handymen, cleaners, cooks, dog-sitters, and babysitters, but increasingly are also more specialized professionals, including nurses, doctors, teachers, programmers, journalists, marketing specialists and, well yes, lawyers too. For example, the rising startup *InCloudCounsel*, offers an army of lawyers providing on demand, routine legal services.[2] The technology is here: as long as you have the time, skill, knowledge, an empty couch, an unoccupied vehicle, or an idle lawnmower, you can swiftly become a corporation. The platform economy channels anything and everything sitting idle into the market and monetizes it.

This resurrection of dead capital, including dormant human capital, is best understood in context of the World Wide Web's genealogy. We are now in a third phase of the Internet, which presents new regulatory challenges. The first phase, Web 1.0, was about enabling search and access to information. Web 2.0 was about selling things – books, music, file sharing. Now, Web 3.0 is expanding the reach of the Internet to facilitate the selling of labor, effort, skills, and time. Thus, just as a decade earlier Amazon and iTunes essentially eliminated the bookstores and record stores, and Amazon, along with eBay, thereafter expanded into an "Everything Store" and forever altered the retail industry,[3] the digital platform is now transforming service industries. *Everything Ubered* if you will. New digital platform companies are disrupting established markets for hotels, with Airbnb and VRBO; for transportation, with Lyft, Uber and Zipcar; and for home repair and cleaning services, with Handy and TaskRabbit. In turn, the rise of these digital platform services presents a multitude of conceptual and practical challenges for the law and public policy.

At the center of these legal challenges is the rise of the "gig": the precarious nature of work and the uncertainty it casts upon employment and labor laws. The Gig Economy emerged in a perfect storm of several interrelated developments. Advances in digital technologies, the widespread availability of handheld devices, and ever-increasing high-speed connectivity have combined with the realities presented by several cycles of economic downturn, shifts in lifestyle, and generational preferences. As is often the case, this blend of factors has also revealed strong, polarized, bivalent reactions in public debates. There are romantic accounts of the rise of the platform – those that celebrate its rise emphasize its immense potential to subvert entrenched business interests and industries ruled by quasi-monopolies. Under this view, the platform enables peer-to-peer exchanges without the dominant corporate hand taking an unfair cut. The reduction in intermediation, resulting from technological advances that diminish the need for a middleman, has the potential to create a more efficient and transparent labor market, which enables independence, choice, autonomy, and freedom for people to work according to their own terms, time, and desired lifestyle. According to this view, the platform increases economic efficiency, reduces idleness, and spurs both the entrepreneurial spirit and capital investment.[4] The platform also connects people directly, which brings us closer to the goals of being:

AM), http://venturebeat.com/2016/01/02/4-ways-the-on-demand-economy-will-evolve-in-2016/.

[2] INCLOUDCOUNSEL, https://www.incloudcounsel.com/.

[3] See BRAD STONE, THE EVERYTHING STORE: JEFF BEZOS AND THE AGE OF AMAZON (Little, Brown and Co., 2014) (2013).

[4] Joao E. Gata, *The Sharing Economy, Competition, and Regulation*, COMPETITION POL'Y INT'L 1, 3 (2015), https://www.competitionpolicyinternational.com/assets/Europe-Column-November-Full.pdf.

Electronic copy available at: https://ssrn.com/abstract=2848456
Electronic copy available at: http://ssrn.com/abstract=2848456

> "[M]ore inclusive and less distrusting . . . more democratized and less traditional . . . to help each other make better decisions about resources and waste less, and to harness the best aspects of the technology to do so."[5]

Capitalism, according to this account, has the potential to incrementally become a fairer and more equitable system.

The darker account, however, provides an alarming analysis of a rising *uber*-capitalist (pun intended) system that commoditizes every interaction. No more giving a friend a ride to the airport if that ride has a price once you turn on your Uber app. No more helping your neighbor carry and assemble her new baby crib as that gig now has a price on Taskrabbit. Patricia Marx, in a clever *New Yorker* article titled "Outsource Yourself," describes her experience of hiring a Task Rabbit to purchase and deliver refreshments for her book group.[6] But when she falls behind in her reading, she hires a second Rabbit, this time a ghostwriter, to summarize the book– *Remembrance of Things Past*, a book by Proust—for her. Finally, as she frantically tries to be on time, she hires another Task Rabbit to bake the madeleines for the book club. About the digital platform's impact on urban lifestyle, Marx writes:

> In the past several years, a cyber-marketplace has emerged that allows regular Joes to behave like dictators and celebrities. Part Craigslist, part eBay, part wish lists of a spoiled child, these Web sites allow you to request goods and services from citizen venders, who can then bid on the opportunity to, say, write a love letter to win back your ex-girlfriend; deliver chicken soup to your sick mother in Buffalo Grove, Illinois; file your insurance claim; assemble your Ikea Vallvik storage unit; or bring you sixty stuffed armadillos by Saturday.[7]

Leisure becomes work, work becomes leisure, socialization turns costly, and people price every interaction according to market value. Jobs become something that you constantly – and feverishly – seek with very little regularity or certainty. Robert Kuttner writes in *The American Prospect* and in an article titled "The Task Rabbit Economy," that "the move to insecure, irregular jobs represents the most profound economic change of the past four decades."[8] Similarly, Robert Reich invites us to imagine an economy in which everyone is doing piecework at all hours, and no one knows when the next job will come or how much it will pay. "What kind of private lives can we possibly have, what kind of relationships, what kind of families," he asks.[9]

The rise of the platform economy has not only blurred the lines between work and leisure, but also threatens to transform once friendly trust-based interactions into monetized transactions.

---

[5] Lyndsey Gilpin, *We-commerce: The Sharing Economy's Uncertain Path to Changing the World*, TECHREPUBLIC, http://www.techrepublic.com/article/we-commerce-the-sharing-economys-uncertain-path-to-changing-the-world/ (last visited Feb. 9, 2016).

[6] Patricia Marx, *Outsource Yourself*, NEW YORKER (Jan. 14, 2014), http://www.newyorker.com/magazine/2013/01/14/outsource-yourself (last visited May 27, 2016).

[7] *Id.*

[8] Robert Kuttner, The Task Rabbit Economy, The American Prospect (Oct. 10, 2013), http://prospect.org/article/task-rabbit-economy

[9] Farhad Manjoo, *Uber's Business Model Could Change Your Work*, N.Y. TIMES: PERSONAL TECH (Jan. 28, 2015), http://www.nytimes.com/2015/01/29/technology/personaltech/uber-a-rising-business-model.html.

Electronic copy available at: https://ssrn.com/abstract=2848456

Traditionally, a friend might buy you a drink on the assumption that you would later buy them a similar if not identically priced drink. In this interaction, the friend has demonstrated trust in your friendship by taking on the risk that you may not ever have an opportunity to return the favor, or that you may both forget. In the platform economy, however, apps like Venmo, digital wallets which allow cashless payments, give users the ability to instantly request payment for any financial extensions.[10] While the convenience and ease of cash free financial transfers has drawn millions of users, the app also enables the stingy user to hold friends accountable for what would once have been an investment of kindness.[11] For example, now if a friend buys you an $8 drink and you later buy her a $6 drink, you can expect to be invoiced on Venmo for the $2 difference.[12]

In this economy, privacy too is diminished, because thriving in the "Gig Economy" commands building one's online profile and reputation. Over 400 million workers have posted their CVs on LinkedIn, and millions find work through the network. Other websites, such as Freelancer.com and Upwork, are specifically devoted to helping companies find contingent workers. On the one hand, the ratings and review systems adopted by platform companies like Airbnb, TaskRabbit, and Lyft can create a system of stranger trust.[13] But at the same time, it brings us close to the ultimate Foucauldian panopticon, in which we all constantly watch and discipline others' transgressions, no matter how big or small.

Perhaps most concerning of all, critics of the rise of the platform warn against the subversion of laws protecting those most vulnerable.[14] Directly rejecting the more optimistic account of a gentler, fairer digital economy, critics describe a subversive strategy of "share-washing," where platform companies cosmetically rely on the romantic notion of a "sharing economy." By recasting all customer-facing interactions as peer-to-peer transactions, companies mask their interests while avoiding corporate responsibilities toward, and liabilities for, workers and consumers.[15]

Life, as always, is more complex than these dichotomous understandings of platform utopia and dystopia. The Gig Economy is on the rise, but it is neither the end of work-relations-as-we-know-them nor is it problem-free.

II. <u>What do Uber Drivers Want?</u>

At the outset, it is important to recognize that, while the concerns about the future of employment and labor law with the rise of the Gig Economy are real, they are not unique to the digital platform. The rise of the contingent workforce precedes the rise of the platform. Currently,

---

[10] Kari Paul, *Venmo is Turning Our Friends Into Petty Jerks*, QUARTZ (May 19, 2016), http://qz.com/687395/venmo-is-turning-our-friends-into-petty-jerks/.
[11] *Id.*
[12] *Id.*
[13] Orly Lobel, *The Law of the Platform*, forthcoming MINN. L. REV.(2016).
[14] Dean Baker, *Don't buy the 'sharing economy' hype: Airbnb and Uber are facilitating rip-offs*, GUARDIAN (May 27, 2014), http://www.theguardian.com/commentisfree/2014/may/27/airbnb-uber-taxes-regulation.
[15] Anthony Kalamar, *Sharewashing is the New Greenwashing*, OP ED NEWS (May 13, 2013), http://www.opednews.com/articles/Sharewashing-is-the-New-Gr-by-Anthony-Kalamar-130513-834.html.

Electronic copy available at: https://ssrn.com/abstract=2848456

at least 14 million people work in the Gig Economy.[16] More broadly, according to some measures, the contingent workforce now constitutes more than one-third of all employees, and analysts predict that it will rise to nearly half of the workforce by 2020.[17] The Government Accountability Office (GAO) recently found that approximately 40 percent of workers are contingent employees, defined broadly as anyone not in a standard full-time employment relationship.[18] These contingent employees include leased workers, temps, on-call and part-time workers, and the self-employed.

In other words, we could describe the Gig Economy – the model of working contingently - is older, and much more pervasive, than on-demand, online, digital platform-based work. The comparison between a high paying, full-time, long-term job offline and contingent work online is therefore not currently the right one. Rather, the focus should be on the increasingly precarious realities that workers face both on and offline.

Only once we draw more realistic comparisons, we may answer the questions about the status of platform workers in a more nuanced way. Take the very heated and contested debate about the status of Uber drivers. In 2015, economist Alan Krueger and Uber partnered to research how working on the platform impacts drivers.[19] The study aggregated national data on driving schedules and earning, and conducted a survey of several hundred Uber drivers. For comparison, they also studied equivalent samples of taxi drivers and chauffeurs. Krueger concluded that most Uber drivers have turned to the platform, not because of the absence of other opportunities in the job market, but rather because of the flexibility and compensation the platform offers.[20] The majority of Uber drivers are employed full-time or part-time elsewhere and work for Uber for additional income. Many Uber drivers find the flexible work schedule more appealing than the standard nine-to-five work schedule. The Krueger report also found that on average, Uber drivers work fewer hours and earn more per hour than traditional taxi drivers.[21]

Notably, just as there is a diversity of circumstances and preferences among Uber drivers, there is a broad spectrum of interests among digital platform workers. Turkers on Amazon's Mechanical Turk, perhaps the most precarious digital work model, have been referring to Jeff Bezos as the "boss" and demanding fair pay.[22] Most Etsy and eBay sellers, however, describe themselves as independent artisans or small business owners, rather than employees.[23] At the very

---

[16] Katy Steinmetz, *Exclusive: See How Big the Gig Economy Really Is*, TIME (Jan. 6, 2016), http://time.com/4169532/sharing-economy-poll/.

[17] Jeremy Neuner, *40% of America's Workforce Will Be Freelancers by 2020*, QUARTZ (Mar. 20, 2013), http://qz.com/65279/40-of-americas-workforce-will-be-freelancers-by-2020/; Rachel Miller, *Half of All Workers Could Be Freelance by 2020*, STARTUP DONUT (June 26, 2015), http://www.startupdonut.co.uk/news/startup/half-of-all-workers-could-be-freelance-by-2020

[18] Patty Murray & Kirsten Gillibrand, CONTINGENT WORKFORCE: SIZE, CHARACTERISTICS, EARNINGS, AND BENEFITS, S. Doc No. GAO-15-168R, at 4 (2015), http://www.gao.gov/assets/670/669766.pdf.

[19] Jonathan Hall & Alan Krueger, *An Analysis of the Labor Market for Uber's Driver-Partners in the United States* (Princeton Univ. Industrial Relations Section, Working Paper No. 587, 2015).

[20] *Id*.

[21] *See* Beat The Press, *Ubernomics*, CTR. FOR ECON. & PUB. POL'Y (Jan. 23, 2015), http://www.cepr.net/index.php/blogs/beat-the-press/ubernomics (noting critiques of this account).

[22] Mark Harris, *Amazon's Mechanical Turk Workers Protest: 'I Am a Human Being, Not an Algorithm,'* GUARDIAN (Dec. 3, 2014, 9:41 AM), http://www.theguardian.com/technology/2014/dec/03/amazon-mechanical-turk-workers-protest-jeff-bezos.

[23] Noam Scheiber, *Uber Drivers and Others in the Gig Economy Take a Stand*, N.Y. TIMES (Feb. 2, 2016),

Electronic copy available at: https://ssrn.com/abstract=2848456

least, we can say that gig workers are far from homogenous in their background, interests, and preferences. The diversity within their needs and work patterns suggests the nuance with which we should approach reforming our traditional employment and labor laws to better serve contemporary realities.

III. Beyond Master-Servant: Four Proposals for Reform

What is the future of employment and labor law protections when reality is rapidly transforming the ways we work? What is the status of gig work and what are the rights as well as duties of gig workers?

I propose four paths for systematic reform, where each path is complementary rather than mutually exclusive to the others. The first path is to clarify and simplify the notoriously malleable classification doctrine; the second is to expand certain employment protections to all workers, regardless of classification, or in other words to altogether reject classification; the third is to create special rules for intermediate categories; and the fourth is to disassociate certain social protections from the work.

A. Simplify the Classification Test

Turning first to misclassification, platform companies insist on self-defining as merely apps or technology companies.[24] They described themselves as malls or marketplaces for digital labor, serving simply a matching function, for example, between ride-seekers and drivers. Most consistently, platform companies tend to define themselves negatively, emphasizing what they are not: they are not, they contend, employers. Uber, for example, has stated that it:

> [D]oes not employ drivers, own vehicles or otherwise control the means and methods by which a driver chooses to connect with riders . . . it merely provides a platform for people who own vehicles to leverage their skills and personal assets and connect with other people looking to pay for those skills and assets.[25]

Uber refers to its drivers as "partners" to convey their non-employee status. In 2015, for example Uber reported, "our partners have been paid over $3.5 billion in the U.S. so far this year."[26] Uber and Lyft have received the most media attention, due to their sheer scale and unicorn status. But the platform is changing the nature of work relations in a broad range of service industries, well beyond transportation. Similar legal disputes abound against platform companies offering delivery services of groceries, dry-cleaning, and take-out.[27] These cases are neither easy to analyze nor to apply in making clear predictions about employment status under current law.

---

http://www.nytimes.com/2016/02/03/business/uber-drivers-and-others-in-the-gig-economy-take-a-stand.html?_r=0.

[24] Salovitz v. Uber Techs., Inc., No. A-14-CV-823-LY, 2014 WL 5318031, at *1 (W.D. Tex. Oct. 16, 2014).

[25] *Id.*

[26] Newsroom, UBER, (Dec. 7, 2015), https://newsroom.uber.com/driver-partner-survey/.

[27] Sarah Kessler, *The Gig Economy Won't Last Because It's Being Sued To Death*, FAST CO. (Feb. 17, 2015, 6:00 AM), http://www.fastcompany.com/3042248/the-gig-economy-wont-last-because-its-being-sued-to-death (discussing disputes over legal status of Gig Economy workers for Handy, Washio, Grubhub, Instacart, and

Electronic copy available at: https://ssrn.com/abstract=2848456

Misclassification cases are difficult because the legal test used to determine employee status is notoriously messy. Like a good law school hypothetical, the facts of each of these cases lend themselves to a cluttered balancing test. Take the Uber case: on the one hand, there are elements that point to independent contractor status – drivers supply the instrumentalities of their work (the cars), are paid by the job, and control their work hours, their geographic area for pickups, and whether to accept a passenger's request for a ride[28]. On the other hand, Uber sets the passenger pay rate, the method of pay, which passengers the drivers must pick up, and immediately displace drivers who fall below a 4.6 rating from the app. That said, early classification rulings have not been favorable to the platform. In June 2015, the California Labor Commissioner, citing the high degree of control Uber exercises over its drivers, ruled in an individual hearing that at least one driver of Uber was an employee.[29] In preliminary hearings in a class action against Uber, Judge Edward Chen here in the Northern District of California found that the fact that Uber sets the rates by which drivers are paid, screens them, and can terminate them weighs in favor of finding them to be employees.[30] In December 2015, Judge Chen issued a final order certifying the Uber drivers' case as a class action with trial set for June 2016.[31] Judge Chen has yet to rule on a settlement agreement in the Uber class action where the defending company agreed to pay $100 million and to allow drivers to contest their termination from the platform.[32] The settlement agreement does not however settle the question of the classification of the drivers as employees or independent contractor. The disposition of the majority of the current misclassification cases varies, though most are still active: Shyp, Instacart, Handy, DoorDash, and Caviar are all in arbitration, whereas Washio, Postmates, and Grubhub are currently pending in court.[33]

While mushrooming lawsuits indicate the highly contested nature of work on the platform, these employment law issues are far from unique to the platform. Nearly a century after the passage of the Fair Labor Standards Act (FLSA), uncertainty about the boundary separating covered employees and independent contractors is as high as ever. In my article *The Four Pillars of Work Law*, I describe how, for decades, the classification of employees versus independent contractors

---

Postmates).

[28] Boston Cab Dispatch, Inc. v. Uber Tech., Inc., No. 13-10769-NMG, 2014 WL 1338148, at *2 (D. Mass. Mar. 24, 2014).

[29] Lauren Weber & Douglas MacMillan, *Uber Driver Was Employee, Not Independent Contractor, California Commission Says*, WALL ST. J.: TECH (June 17, 2015), http://www.wsj.com/articles/uber-driver-was-employee-not-contractor-california-commission-says-1434557958.

[30] Karen Gullo, *Uber and Lyft Drivers May Have Employee Status, Judge Says*, BLOOMBERG: BUS. (Jan. 30, 2015, 2:46 PM), http://www.bloomberg.com/news/articles/2015-01-30/uber-drivers-may-have-employee-status-judge-says.

[31] UBER, http://uberlawsuit.com (last visited Jan. 12, 2016).

[32] Douglas O'Connor v. Uber Tech., Inc., No. 15-17532 (9th Cir. filed Dec. 28, 2016); *see also* Rebecca Spalding, *Uber Settlement Attacked by Drivers Saying Lawyer Sold Out*, CHICAGO TRIBUNE (May 14, 2016, 8:14 PM), http://www.chicagotribune.com/news/sns-wp-blm-uber-a4631fc0-1944-11e6-971a-dadf9ab18869-20160513-story.html; Diana Kapp, *Uber's Worst Nightmare*, SAN FRANCISCO MAGAZINE (May 18, 2016), http://uberlawsuit.com/Uber's%20Worst%20Nightmare.pdf. The lead plaintiffs attorney, Shannon Liss-Riordan, faced heavy criticism from objecting drivers who claim she sold them out for a settlement agreement that was far below the value of the lawsuit at trial. These more than 20 filed objections have delayed the approval process and the settlement agreement remains unapproved. Rebecca Spalding, *Uber Settlement Attacked by Drivers Saying Lawyer Sold Out*, Chicago Tribune (May 14, 2016, 8:14 PM), http://www.chicagotribune.com/news/sns-wp-blm-uber-a4631fc0-1944-11e6-971a-dadf9ab18869-20160513-story.html.

[33] Marissa Kendall, *The Uber Settlement Provides Payout, No Closure*, SAN JOSE MERCURY NEWS (April 22, 2016) http://www.mercurynews.com/breaking-news/ci_29802852/uber-settlement-provides-payout-no-closure.

Electronic copy available at: https://ssrn.com/abstract=2848456

proved one of the most notoriously unpredictable, blurry, and malleable legal tests, consisting of anywhere from 3 to as many as 20 factors, depending on which case or regulatory guidance is applied.[34] The 20-factor test established by the IRS has been the most consistently used, and determines employment status by examining the level of control over the worker (e.g. whether the worker was trained or provided their own training, whether the worker provided their own tools, the method and rate of payment, whether the worker has control over scheduling, the opportunity for profit and loss, the degree of supervision).[35] In the Gig Economy, the distinction between independent contractor and employee continues to present definitional challenges and reveals the pervasive practical difficulty in applying the multi-factor test.

Consider drivers again as an example. Analyzing the lawsuits against Uber and Lyft requires that we recall the previous lawsuits filed by taxi drivers, who were operating under the conventional pre-platform model. These suits over drivers' employment statuses were similarly fought and largely lost.[36] Today, taxi drivers are largely classified as independent contractors. Recently, FedEx, also a pre-platform delivery service, lost several class action suits for misclassifying its drivers as independent contractors.[37] All of these cases entail very context-specific factors, rendering the battles over employment status online and offline virtually identical. In other words, the problem at the heart of classification disputes is not the newness of the Gig Economy, but rather the inherent complexity of the existing legal classification. Indeed, I often tell my students that to get a sense of the range of laws, statutes, and regulations from local government to international law, from financial regulation to family law, one can simply create a map pinpointing all of the places in which the term employee appears.

In a pre-platform case concerning the classification of migrant workers in one of the oldest economic industries – agriculture – Judge Frank Easterbrook shrewdly questioned how, decades after the passage of the FLSA, we still cannot predict the status of workers with any certainty.[38] The tests developed under the common law are notoriously incremental, applied case-by-case, reliant on multiple weighted factors, and frequently reject the labels adopted by the contracting parties. Judge Easterbrook rejected the common law right to control test, which weighed multiple factors, including method of payment, but he also viewed the term economic dependence used by the majority as rather tautological: the labor market creates inherently relational settings in which both sides are mutually dependent. Instead, Easterbrook urged the adoption of a broad economic vulnerability test, at least for the purposes of wages and hour laws. In a way, Easterbrook's reliance on the idea of labor market vulnerability is a standard reminiscent of our test for pornography: *I know it when I see it*. Easterbrook's decision reads as a blueprint for naturally sorting the world of work: hamburger flippers and farmworkers are vulnerable, while engineers and lawyers are not. The Fair Labor Standards Act, a Depression Era New Deal policy designed to protect those most in need, was meant to cover the former. While changing realities may easily shift perspective on vulnerability in any given era and industry, the idea behind a simplified, broader coverage test

[34] Orly Lobel, *The Four Pillars of Work Law*, 104 MICH. L. REV. 1539 (2006).
[35] Present Law And Background Relating to Worker Classification for Federal Tax Purposes, IRS Website, https://www.irs.gov/pub/irs-utl/x-26-07.pdf.
[36] Ali v. U.S.A. Cab Ltd., 98 Cal. Rptr. 3d 568, 572 (2009).
[37] Alexander v. FedEx Ground Package Serv., 765 F.3d 981, 997 (9th Cir. 2014).
[38] Secretary of Labor, U.S. Dept. of Labor v. Lauritzen, 835 F.2d 1529 (7th Cir. 1987).

Electronic copy available at: https://ssrn.com/abstract=2848456

harkens back to the very purpose of the laws – social policies were meant to have broad coverage, protecting society's most vulnerable segments.

On July 15, 2015, the Department of Labor issued guidance on the classification of independent contractors in response to the wave of worker misclassification issues arising from the explosion of the Gig Economy.[39] The DOL referenced the definition contained within the FLSA for what constitutes employment – "to suffer or permit work" – which is, for all intents and purposes, a very broad standard. The DOL's guidance effectively expands the worker protections included in the FLSA by narrowing the grounds under which a worker qualifies as an independent contractor. This action created new classification guide, with a six-factor test based on the "economic realities" doctrine developed at common law.[40] Under this doctrine, most workers are considered employees for the purpose of FLSA and federal protected-leave laws.

B. <u>From Misclassification to Non-Classification</u>

A second path for reform is to make some issues classification-neutral. With origins in Master-Servant law, modern employment law is based on the assumption of two worlds of work: you are either an employee or you are not, and if not you have none of the protections afforded to employees. Normatively, with respect to a number of fundamental rights, there should be an extension of protections to all workers, irrespective of employment status. Legislation has already extended certain speech rights, for example whistleblowing and anti-retaliation protections under financial statutes like Dodd-Frank and Sarbanes-Oxley, to all workers. These speech protections were put into place because, in their absence, employers could simply utilize novel contract language or work arrangements to avoid extending these protections, defeating the underlying policy aims. Similarly, lawmakers should extend the principles of dignity and equality embedded in anti-discrimination laws to all laborers, regardless of their employment status, in order to achieve the purposes of statutory discrimination prohibitions on the basis of race, color, national origin, sex, religion, age and disability. Title VII was enacted to bring fundamental constitutional principles from state action into the private market. Whether an Uber driver is a worker or independent contractor should not matter when prohibiting a company like Uber to make recruitment decisions based on sex, race and other prohibited identity categories.

Some state laws have already expanded anti-discrimination protections to all workers, including independent contractors. For example, the Washington Law Against Discrimination (WLAD) sets the standard for prohibitions against discrimination against workers regardless of status with an expansive definition of "employee."[41] In *Marquis v. Spokane*, a female golf professional sued the city, alleging she was subject to sex discrimination while managing one of the city's golf courses.[42] The Washington State Supreme Court construed the state anti-discrimination statute more broadly than federal statutes due to the statute's definition of employee, determining it only excludes immediate familial employment relationships but includes

[39] U.S. Dep't of Labor, Wage & Hour Div., Administrator's Interpretation No. 2015-1 (July 15, 2015), http://www.dol.gov/whd/workers/misclassification/ai-2015_1.htm.
[40] *Id.*
[41] WASH. REV. CODE § 49.60.040 (2015).
[42] Marquis v. City of Spokane, 922 P.2d 43, 45 (Wash. 1996).

Electronic copy available at: https://ssrn.com/abstract=2848456

all other worker relationships.[43] Similarly, in *D'Annunzio v. Prudential*, the New Jersey Supreme Court extended whistleblower protection to the plaintiff in spite of the fact his employment contract explicitly classified him as an independent contractor.[44]

With an expansive coverage of anti-discrimination laws, the digital platform provides an opportunity to upgrade compliance with anti-discrimination policies. The modern age offers a number of tools to combat the issue of workplace discrimination in hitherto unforeseen ways. Technology exists to detect patterns of discrimination better, opening up new avenues of research and enforcement for the pertinent regulatory agency. This would require that regulatory agencies more actively enforce data mining and reporting, but the potential gains in minimizing the effect of unlawful discrimination are incalculable.

C. A Class of Their Own

For other areas of regulation, the law should recognize an intermediate category of worker between employee and independent contractor. Even if the law simplified the classification test, the resulting on-off dichotomous space does not allow middle ground between the categories. As judge Vince Chhabria said in the Lyft hearing, "the jury will be handed a square peg and asked to choose between two round holes."[45]

In Canada, when an independent contractor has worked exclusively or largely exclusively for one client for an extended period, they are deemed a *dependent contractor* for purposes of termination notification and representation.[46] Former Chairwoman of the National Labor Relations Board Wilma Liebman called upon the United States to recognize such a category in the dissent of the NLRB opinion *St. Joseph News-Press*, noting that Canada and Germany already have statutes protecting such workers.[47] Liebman stated, "Some people are clearly independent contractors and some are clearly employees, but a third category becomes necessary when you have people who are borderline," independent in terms of task selection while being economically dependent on one employer.[48] A classic example perfectly encapsulating this issue occurred in *Vizcaino v. Microsoft*, in which the court declared employees who were effectively "permatemps" were actual employees, rather than independent contractors, and granted full employee benefits and backpay as a result.[49] Unfortunately, this ruling has not created a true change in Microsoft's policy of hiring temporary workers. Instead of labeling these workers employees, they simply terminate their temporary workers' contracts after 270 days of work in a given year, and require

---

[43] *Id.* at 50.
[44] D'Annunzio v. Prudential Ins. Co. of America, 927 A.2d 113, 123 (N.J. 2007).
[45] Ellen Huet, *Juries To Decide Landmark Cases Against Uber and Lyft*, FORBES: TECH (Mar. 11, 2015,8:21 PM), http://www.forbes.com/sites/ellenhuet/2015/03/11/lyft-uber-employee-jury-trial-ruling/#68c39d762446.
[46] Elizabeth Kennedy, Comment, *Freedom from Independence: Collective Bargaining Rights for "Dependent Contractors,"* 26 BERKELEY J. EMP. & LAB. L. 143 (2014); Harry Campbell, *Could Dependent Contractors Be The Answer For Uber?*, FORBES: TECH (June 19, 2015, 6:05 PM), http://www.forbes.com/sites/harrycampbell/2015/06/19/could-dependent-contractors-be-the-answer-for-uber/.
[47] Lauren Weber, *What if There Were a New Type of Worker? Dependent Contractor*, WALL ST. J.: MGMT. (Jan. 28, 2015), http://www.wsj.com/articles/what-if-there-were-a-new-type-of-worker-dependent-contractor-1422405831.
[48] *Id.*
[49] Steven Greenhouse, *Temp Workers at Microsoft Win Lawsuit*, N.Y. TIMES (Dec. 13, 2000), http://www.nytimes.com/2000/12/13/business/technology-temp-workers-at-microsoft-win-lawsuit.html.

Electronic copy available at: https://ssrn.com/abstract=2848456

at least 100 days between temporary worker contracts. This kind of regulatory arbitrage reveals the need for a third category that would identify the protections afforded to workers laboring under intermediate arrangements.

Seth Harris and Alan Krueger suggest another such intermediate category, which they call "independent workers," and urge that they receive rights to organize and collectively bargain.[50] Workers in this category have in fact begun organizing for mutual aid to protest terms and conditions. Notably, the taxi industry, which shifted its business model a few decades ago from classifying its drivers as employees to independent contractors, has been at the forefront of organizing independent contractors, who the National Taxi Workers Alliance now represents. On the digital platform, Postmates delivery workers began a campaign called "I'm done after this delivery," protesting a widely-held fear that turning down jobs affects future assignments. In December 2015, the Seattle City Council granted ride-hailing drivers the right to unionize.[51] Though the issues are somewhat different from turn-of-the-century labor organizers, workers are voicing a 21st-century basis for the interests of "Gig Economy" laborers to collectively protest and organize. In several cities, including here in San Francisco, as well as in Dallas, New York, and Tampa, Uber driver protests have resulted in the reversal of certain policies cutting rates. Antitrust laws should be amended to allow non-employee workers to organize, including into worker cooperatives.

In addition to organizing, I would also extend worker safety laws to this category. The Occupational Safety and Health (OSH) Act of 1970 put a system of regulation designed to improve safety conditions for workers into place.[52] It did so by requiring employers to comply with the rulemaking bodies established by the act, including allowing inspections by OSHA enforcement personnel employed by the Department of Labor, reporting accident statistics, and payment of any fines or penalties in the event of a violation.[53] The purpose of the act, put simply, is to protect workers from potentially hazardous conditions in order to prevent injury or death. Without OSHA protections, dependent contractors find themselves particularly vulnerable. They are workers exposed to the hazards of a job site without having the necessary control over it to ameliorate those risks. From the employer's perspective, extending certain safety protections will incentivize them to provide particular benefits under the logic of efficiencies of scale, including insurance, worker compensation, and pensions for a group, as well as assistance with tax withholdings, without the fear that doing so will qualify the works as an employee for other purposes, such as wage and hour, overtime, and leave rights. This approach also avoids the moral hazard created by the lack of control: turning a blind eye to risks because of the fear of wholesale classification as an employer.

---

[50] http://www.hamiltonproject.org/assets/files/modernizing_labor_laws_for_twenty_first_century_work_krueger_harris.pdf

[51] Nick Wingfield and Mike Isaac, *Seattle Will Allow Uber and Lyft Drivers to Form Unions*, N.Y. TIMES (Dec. 4, 2015), http://www.nytimes.com/2015/12/15/technology/seattle-clears-the-way-for-uber-drivers-to-form-a-union.html.

[52] Jon M. Philipson, *OSHA's Impact On Tort Litigation By Independent Contractors' Injured Employees Against Business Premises Owners*, 66 U. MIAMI L. REV. 987, 992 (2012).

[53] *Id.*

Electronic copy available at: https://ssrn.com/abstract=2848456

One example of a bargain struck between workers and platform companies that fits an intermediate treatment of work status is the very recent settlement between Lyft drivers and Lyft. The drivers agreed to drop their misclassification claim in return for better terms of service. Under these new terms, drivers can no longer be terminated for any reason without warning and without opportunity to fix the problem. The settlement also established a regular grievance procedure that would allow Lyft drivers to bring pay disputes at the expense of the company.[54] The Lyft case was settled on January 27, 2016, with a settlement of $12 million to the drivers and an agreement to provide drivers with a due process hearing before terminating them. Although the drivers did not get full-fledged employee status, they did get better terms of employment – shifting from what could be understood as at-will termination to a process that requires good cause. Notably, the court rejected the settlement amount for being too low, forcing the parties back to the drawing board.[55] Lyft recently increased its settlement offer from 12.25M to 27M and this has yet to be accepted. The Uber settlement agreement in makes similar employment concessions and it too is awaiting approval by the court.[56]

There are those who fear the middle category, expressing concern that "creating an entirely new category of worker would not only be politically and logistically tortuous, it would also risk depriving workers who would otherwise be classified as employees of the benefits they might enjoy."[57] And yet, the reality is that existing law no longer protects a growing number of workers who once would have enjoyed the status of employees, regardless of the existence of an intermediate category. Rather, these workers are classified as independent contractors with very few rights, and the lack of any intermediate status effectively provides greater incentives for employers to reclassify their workers as independent contractors. In other words, the fact that analysts distilled worker protection into a debate about the two categories is endogenous to the growing independent contractor category.

Moreover, the lack of an intermediate category induces a paltry investment in skills. Recognizing the inherently mobile realities of gig workers could allow us to better interpret the duties of loyalty and post-employment restrictive contracts that employers regularly demand. In my book *Talent Wants to be Free*, I describe the exponential expansion of restrictive covenants in

---

[54] David William, *Lyft Settles Its Employee Misclassification Lawsuit, but Uber's Still Pending*, SMALL BUS. TRENDS (Feb. 1, 2016), http://smallbiztrends.com/2016/02/lyft-employee-misclassification-lawsuit.html.

[55] Tracey Lien, *Judge Rejects $12.25-million Lyft Lawsuit Settlement*, L.A. TIMES (April 7, 2016, 7:03 PM), http://www.latimes.com/business/technology/la-fi-tn-lyft-settlement-20160408-story.html. Dan Levine, *Lyft Agrees to Revised $27 Million Deal in Driver Lawsuit*, REUTERS: BUSINESS (May 11, 2016, 10:55 PM), http://www.reuters.com/article/us-lyft-lawsuit-drivers-idUSKCN0Y22PJ.

[56] Douglas O'Connor v. Uber Tech., Inc., No. 15-17532 (9th Cir. filed Dec. 28, 2016); *see also* Rebecca Spalding, *Uber Settlement Attacked by Drivers Saying Lawyer Sold Out*, CHICAGO TRIBUNE (May 14, 2016, 8:14 PM), http://www.chicagotribune.com/news/sns-wp-blm-uber-a4631fc0-1944-11e6-971a-dadf9ab18869-20160513-story.html; Diana Kapp, *Uber's Worst Nightmare*, SAN FRANCISCO MAGAZINE (May 18, 2016), http://uberlawsuit.com/Uber's%20Worst%20Nightmare.pdf. The lead plaintiffs attorney, Shannon Liss-Riordan, faced heavy criticism from objecting drivers who claim she sold them out for a settlement agreement that was far below the value of the lawsuit at trial. These more than 20 filed objections have delayed the approval process and the settlement agreement remains unapproved. Rebecca Spalding, *Uber Settlement Attacked by Drivers Saying Lawyer Sold Out*, Chicago Tribune (May 14, 2016, 8:14 PM), http://www.chicagotribune.com/news/sns-wp-blm-uber-a4631fc0-1944-11e6-971a-dadf9ab18869-20160513-story.html.

[57] Noam Scheiber, *A Middle Ground Between Contract Worker and Employee*, N.Y. TIMES (Dec. 10, 2015), http://www.nytimes.com/2015/12/11/business/a-middle-ground-between-contract-worker-and-employee.html?_r=1.

Electronic copy available at: https://ssrn.com/abstract=2848456

employment – where employers in nearly every industry require their workers to sign non-competes, non-disclosure agreements, and pre-innovation assignment clauses.[58] From a human capital perspective, it would make sense to increase the protections over dependent contractors' mobility, parallel gig employment with two or more competitors, ownership over skills and knowledge, all to a higher level than that of employees, who enjoy more job security in return for some constraints over their future competition with their employer. Notably, in some cases, platform work seems to follow this logic. Uber and Lyft have allowed their drivers to work for their primary competitor, presumably in part to signal their non-employee status, but also in part to recruit workers who are not seeking full-time employment with only one company.

D. Platform Work and the Social Contract: Delinking Welfare from Work

The final path to systemic reform is rethinking some of the historical links between work and welfare. I come from a social welfare country, and I have the perspective that there is no natural exclusive link between social welfare and employment. In the United States, the social contract has historically placed the proper delivery social welfare program benefits, including the safety net, unemployment insurance, workers' compensation, health care, and pensions/retirement savings, through the workplace.

Here, the Nordic concept of "flexicurity," which provides comprehensive lifelong learning strategies and modern social security systems providing adequate income to support flexible work patterns, is an important model.[59] In the United States, most benefits are linked to employment, including health care, retirement, workers' compensation, and leave. This link is increasingly outdated and creates the moral hazard of a further push to precarious work. Within the United States, the on/off nature of employment, and the fact that the very existence of so many rights and responsibilities depends on that employment status, acts as an impediment to spreading the benefits of pre-existing social welfare legislation. The law should apply the social safety net universally, and fund it through the tax system, rather than through employment.

The Affordable Care Act of 2010 is a step in the right direction and has made it easier for independent contractors to purchase insurance on their own, but delinking social benefits from the employment relationship demands much more work. Indeed, in some ways, HealthCare.gov has become a human-resources site for the platform economy.[60] By allowing workers without static employment to obtain affordable high-quality healthcare coverage outside of traditional employer plans, workers are free to pursue a number of different means of employment, including entrepreneurship in addition to piece-work. In other words, we can renew the deals of the New

[58] Orly Lobel, TALENT WANTS TO BE FREE (2013)

[59] Wilthagen, T. and F. Tros "The Concept of 'Flexicurity': a new approach to regulating employment and labour markets" in 'Flexicurity: Conceptual Issues and Political Implementation in Europe' Tanfer, European Review of labour and research, vol. 10, No.2. (2004).

[60] HEALTHCARE, https://www.healthcare.gov (last visited Jan. 2, 2016).

Electronic copy available at: https://ssrn.com/abstract=2848456

Deal of ensuring social welfare, fairness, and the promise of upward mobility by expanding protections, rather than focusing on categories and classes of workers,[61] thereby piercing the veil of these laws to reach the fundamental principles that form our social contract.

Nobel Laureate Wassily Leontief offers a thought experiment: imagine a jobless economy.[62] An economy in which production is so efficient and so automated that there remains only one worker. How would we then distribute the wealth? How would we organize productive human activities? These basic distributive questions should already be on the table.

Conclusion

The deeper questions about the desirability of commoditizing every aspect and minute of one's life, labor, skill, and energy have become more pressing and salient with the rise of the platform. Just-in time scheduling makes life less predictable, and the rhythms of society more stochastic.[63] Work is scheduled by the hour, and in some cases even minutes. Is the platform further destabilizing job security and long-term employment? Is it a cause or symptom of the shifting patterns of the labor market? The answer is both. The rise of the platform is partly due to the decline of full-time, long-term jobs and cycles of high unemployment rates. It also represents a shift in preferences as many people entering the labor market today prefer flexibility and control over their work-time. The platform also offers opportunities to profit more directly from one's labor. Compared to workers employed through manpower agencies, platform companies allow workers to receive a greater share of the pay.

To close with an optimistic perspective, the platform may also be an opportunity to connect workers to each other and organize in ways previously unavailable. Platform technology lowers barriers of entry, and so we might imagine that discontent and connectivity could lead workers to create cooperative versions of companies like Uber, TaskRabbit, and Mechanical Turk. We might also envision a driver-owned transportation platform cooperative that adopts Uber-like technology, fueled by the energy of creative cause lawyers.[64] The platform enables "ridiculously easy group-forming," which "matters because the desire to be part of a group that shares, cooperates, or acts in concert is a basic human instinct that has always been constrained by transaction costs."[65] One such initiative is Peers, an organization for platform economy workers and an advocacy group for the platform economy that provides services to its members, such as personal liability protection for homes and replacement cars for drivers.[66] Peers is planning on expanding its services to include workers' compensation insurance. Peers describes itself as a "grassroots organization" with the goal to "mainstream, protect, and grow the sharing economy," and already has over 11,000 members and dozens of corporate partnerships.[67] Other local groups

---

[61] *See also*, Orly Lobel, *The Renew Deal: The Fall of Regulation and the Rise of Governance in Contemporary Legal Thought*, 89 MINN. L. REV. 342 (2004).
[62] Robert Kuttner, *The Robots Are Coming! The Robots Are Coming!*, HUFFINGTON POST (May 25, 2015), http://www.huffingtonpost.com/robert-kuttner/the-robots-are-coming_b_7432126.html.
[63] Orly Lobel, *The Law of Social Time*, 79 TEMP. L. REV. 357 (2003).
[64] Janelle Orsi, PRACTICING LAW IN THE SHARING ECONOMY: HELPING PEOPLE BUILD COOPERATIVES (2013).
[65] CLAY SHIRKY, HERE COMES EVERYBODY: THE POWER OF ORGANIZING WITHOUT ORGANIZATIONS 47–54 (2008).
[66] PEERS, http://www.peers.org.
[67] Tarun Wadhwa, *The Sharing Economy Fights Back Against Regulators*, FORBES: TECH (Sept. 16, 2013).

Electronic copy available at: https://ssrn.com/abstract=2848456

of users are forming to share advice, think about policy, push risk and responsibilities back from the individual provider to the platform company, and standardize pricing.

The future of employment and labor law depends on policymakers responding to the ongoing changes in the job market, technology advances, and shifting economic realities. The paths for reform are multiple and must consist of clarifying existing definitions about worker protection, drawing on technological capacities to aid compliance and enforcement of these protections, expanding certain basic protections to all laborers, regardless of their employment status, creating new protections in response to new business models, and finally, delinking fundamental social welfare programs from employment.

Electronic copy available at: https://ssrn.com/abstract=2848456